

Buying a New or Used Car

If you are trying to maintain a budget, buying a new car will not be the best financial choice. In January 2020, the average price of a new vehicle was \$37,200.⁶² The average annual wage around that time was \$53,490.⁶³ This means that after taxes, a new car would cost the average person roughly an entire year's salary. Think about that—imagine working a full-time job for an entire year, and then spending every penny you earned on a car.

In addition to the high price, blowing your money on a new car is an especially poor investment because cars are a **depreciating** asset, which means they lose value over time. If you buy a brand-new car today for \$30,000, you are going to have trouble selling that same car for \$24,000 just a week later. Why would you want to sink so much money into something that loses value so quickly? Instead, it is better to buy a car that is at least a year or two old, after that early depreciation has already made the car cheaper. Both new and used cars depreciate, but new cars depreciate much more quickly in the first few years of ownership.

62 "2020 Automotive Industry Trends," Edmunds, January 2020, <https://static.edmunds-media.com/unversioned/img/industry-center/insights/2020-automotive-trends.pdf>.

63 "May 2019 National Occupational Employment and Wage Estimates United States," U.S. Bureau of Labor Statistics, accessed November 21, 2020, https://www.bls.gov/oes/2019/may/oes_nat.htm.